Press Release

Summary IFRS results 9M 2024

October 31, 2024. Moscow. Sberbank (hereafter — «the Group» or «Sber» published Summary Interim Consolidated Financial Statements under International Financial Reporting standards (IFRS) (hereafter «the Financial Statements») for 9M 2024 and as of September 30, 2024.

Sber net profit for 9M 2024 reached RUB1227 bn in accordance with International Financial Reporting Standards (IFRS)

Herman Gref, Chairman of the Executive Board, CEO, stated:

«For the first nine months of 2024, Sber's net profit increased by 6.8% year-on-year reaching RUB1.23 trn, with the return on equity exceeded 25%.

During the reporting quarter, consumer activity and retail lending slowed down, while corporate loan portfolio growth remained robust. The total loan portfolio expanded by 6.5% over the quarter to RUB44.6 trn. Client funds moved beyond RUB42.9 trn representing a 4.9% increase, while retail deposits added 2.8% and corporate client's 8.6%.

Client engagement and Sber's digital channels utilization continue to grow. The number of retail clients has surpassed 109.5 mn, of which 89 mn benefit from our updated loyalty program SberSpasibo and more than 17 mn get additional value of our flagship SberPrime subscription. In September, it turned four years, and the number of subscribers has increased by 3.4 mn during the quarter thanks to improved transactional services.

In October, we introduced a new neural network model GigaChat MAX. The AI-driven service now boasts superior expertise across an extensive range of subjects, particularly in biology, chemistry, physics, and solving mathematical problems. The model now better formulate context in multi-step prompts and generates answers times faster.»

Key financial results for the reporting period

3Q 2024

411.1 RUB bn	19.26 RUB	25.4 %	12.9 %
Group net profit	Earnings per share (EPS)[1]	ROE	Capital adequacy ratio (N20.0)

Key Client Activity Metrics

mn, unless stated otherwise	30.09.2024	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Number of active retail clients	109.5	109.0	108.8	108.5	*0.5*	*1.0*
MAU – SberBank Online app (app+web)	83.1	82.7	82.5	81.9	*0.4*	*1.2*
DAU – SberBank Online app (app+web)	43.7	43.3	43.3	43.7	*0.4*	-
Number of active corporate clients	3.2	3.2	3.2	3.2	-	-

- Number of active retail clients increased by 1.0 mn to 109.5 mn since the beginning of the year.
- Number of active monthly users (MAU) of SberBank Online (app+web) increased by 1.2 mn since the beginning of the year and amounted to 83.1 mn, while number of daily users (DAU) came at 43.7 mn. The DAU/MAU ratio was 52.6%.
- Number of loyalty program SberSpasibo users for 9M 2024 rose by 11.8 mn to 89.0 mn.
- Number of corporate clients was 3.2 mn.
  - The «SberBusiness Spasibo» loyalty program, which was launched this year, won a gold award for «Best loyalty program in the B2B segment» at the national Loyalty Awards Russia 2024. This program allows clients to accumulate bonuses, convert them into rubles at one-to-one rate and receive up to 100% cash back from Sber partners. It has 615 ths active corporate clients, as of the end of 3Q 2024.
- Number of Sber ID users, a unified login that gives access to Sber services and its partners, has grown by 14.2 mn since the beginning of the year, reaching 89.2 mn.
- Number of SberPrime subscribers increased by 3.4 mn in 3Q 2024, surpassing 15.5 mn, driven by enhanced subscription terms for transaction-based services.
- More than 2 mn children aged 6-13 have already become Sber customers and are able to appreciate the benefits of kids cards and SberKids app, as well as educational and entertaining content within the app, which aims to improve their financial literacy.
  - In September, Sber took the lead in the «Kids Banking» category, according to Frank RG ranking.

Group Income Statement Highlights

RUB bn, unless stated otherwise	3Q 2024	*change 3Q 2024 / 3Q 2023*	2Q 2024	1Q 2024	9M 2024	*change 9M 2024 / 9M 2023*
Net interest income	762.1	*14.1%*	713.2	699.9	2175.2	*19.0%*
Net fee and commission income	218.2	*11.6%*	209.5	184.1	611.8	*10.5%*
Operating income before provisions	965.1	*21.1%*	855.7	801.9	2622.7	*11.2%*
Net charge related to change in asset quality[2]	-125.9	*2.6x*	-98.4	-53.3	-277.6	*18.2%*
Staff and administrative expenses	-274.3	*17.1%*	-252.7	-227.6	-754.6	*19.3%*
Net profit	**411.1**	***-0.1%***	**418.7**	**397.4**	**1227.2**	***6.8%***
Earnings per ordinary share, RUB	19.26	*0.1%*	18.13	18.56	55.93	*6.1%*

Key financial ratios

Return on equity[3]	25.4%	*-2.2 pp*	25.9%	24.2%	25.2%	*-1.0 pp*
Return on assets[4]	2.9%	*-0.5 pp*	3.1%	3.0%	2.9%	*-0.4 pp*
Net interest margin	5.86%	*-0.15 pp*	5.84%	5.88%	5.86%	*-0.01 pp*
Cost of risk (amortized cost and FV loans)	1.2%	*0.7 pp*	1.0%	0.5%	0.9%	-
Cost-to-income ratio	28.4%	*-1.0 pp*	29.5%	28.4%	28.8%	*2.0 pp*

Net interest income rose by 14.1% y/y to RUB762.1 bn in 3Q 2024 on the back of increasing volume of working assets. For 9M 2024, net interest income increased by 19.0% y/y to RUB2175.2 bn.

- Net interest margin totaled 5.86% in 3Q 2024 and rose by 2 bp q/q.

Net fee and commission income increased by 11.6% y/y to RUB218.2 bn In 3Q 2024. For 9M 2024 net fee and commission income went up by 10.5% y/y to RUB611.8 bn.

- For 9M 2024, total payments, transfers and acquiring volume expanded by 19.8% y/y and exceeded RUB80 trn.
- Sber ranks second for the first time in a global bank ranking of largest acquirers based on the number of processed transactions (according to the Nilson Report).
- «Smile to Pay» transactions are becoming increasingly popular due to ease of use, speed of payment and expanded functionality. Biometric transactions have topped 13 million year-to-date and over 800 ths biometric terminals are now in place.
- Sber has joined forces with two prominent Russian banks to form a consortium with the aim to develop new payment solutions, first of which was the creation of a unified QR code.

The Group **operating income before provisions** increased in 3Q 2024 by 21.1% y/y to RUB965.1 bn driven primary by growth in net interest and commission income. For 9M 2024, operating income before provisions rose by 11.2% y/y to RUB2622.7 bn.

Net provision charge against credit quality deterioration, including revaluation of loans at fair value, in 3Q 2024 amounted to RUB125.9 bn or RUB277.6 bn for 9M 2024. The dynamics of this indicator are significantly influenced by the growth of credit portfolio and the increase in credit risk in retail segment amid rising interest rates in the economy.

Cost of risk for 9M 2024 amounted to 90 bp, a decrease by 3 bp y/y, and in the third quarter it reached 116 bp due to an increase in cost of risk in the retail portfolio.

Operating expenses of the Group rose by 17.1% y/y to RUB274.3 bn in 3Q 2024. Operating expenses for 9M 2024 increased by 19.3% y/y and reached RUB754.6 bn.

- **Cost-to-income ratio** amounted to 28.4% in 3Q 2024 or 28.8% for 9M 2024.

For 9M 2024, Sber **net profit** rose by 6.8% y/y to RUB1227.2 bn. In 3Q 2024 net income amounted to RUB411.1 bn, which was significantly influenced by a revision of the income tax rate applied to deferred tax assets and liabilities.

Group Balance Sheet Highlights

RUB bn, unless stated otherwise	30.09.2024	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Gross loans[5]:	**44 622**	**41 881**	**39 824**	**39 381**	***6.5%***	***13.3%***
Corporate loan portfolio	26 547	24 372	23 346	23 306	*8.9%*	*13.9%*
Retail loan portfolio	18 075	17 509	16 478	16 075	*3.2%*	*12.4%*
Client funds:	**42 862**	**40 845**	**38 577**	**36 694**	***4.9%***	***16.8%***
Retail deposits	26 333	25 625	23 460	22 905	*2.8%*	*15.0%*
Corporate deposits	16 529	15 220	15 117	13 789	*8.6%*	*19.9%*
Net loan-to-deposit ratio	**99.7%**	**98.1%**	**98.8%**	**102.4%**	***1.6 pp***	***-2.7 pp***
Book value per share[9](RUB)	**298.8**	**284.0**	**305.7**	**291.5**	***5.2 %***	***2.5%***

Retail loan portfolio increased by 12.4% ytd and equal to RUB18.1 trn. During the reporting quarter, the growth rate slowed marginally to 3.2% amidst a backdrop of more stringent regulatory measures and elevated economic rates. The yield on retail loans increased by 98 bp in 3Q 2024 to 16.2%.

- Sber retail lending market share was up by 0.4 pp for the quarter to 47.9% as at September 30, 2024.
- Retail loan originations during the quarter were RUB 1.7 trn.
- **Mortgage loan portfolio** climbed by 1.5% q/q and by 8.3% ytd, totaled RUB11.0 trn.
  - Mortgage loan issuances amounted to RUB661 bn, while Sber market share increased by 0.5 pp to 55.8%.

- **Consumer unsecured loan portfolio** rose by 1.9% q/q or by 8.6% ytd to RUB4.3 trn.
  - Sber share in consumer unsecured lending rose by 1.6 pp for 3Q 2024 to 42.0%.
  - In 3Q 2024, consumer unsecured loan issuance reached RUB734 bn.
- **Credit card portfolio** rose by 10.3% q/q or by 34.4% ytd to RUB2.2 trn. Sber share in consumer unsecured lending rose to 51.4% (+0.4 pp during the reporting quarter).
- **Car loans portfolio** rose by 25.1% q/q and amounted to RUB0.6 trn. Sber share in car loans rose to 18.9% (+1.4 pp during the reporting quarter).

Corporate loan portfolio rose by 8.9% q/q (+8.0% excluding adjustment for the impact of FX revaluation[6]) or by 13.9% ytd (+13.8% excluding adjustment for the impact of FX revaluation[6]) amounting to RUB26.5 trn. The yield on corporate loans in 3Q 2024 increased by 1.1 pp to 13.8%.

- Sber market share in corporate lending increased to 32.0% (+0.5 pp during the reporting quarter).
- In 3Q 2024, more than RUB6.6 trn corporate loans were issued, preserving stable portfolio quality.
- The real estate developers financing portfolio grew by 11.4% during the reporting quarter and reached RUB5.2 trn.
- SME loan portfolio amounted to RUB6.4 trn[7], while Sber market share in SME loans increased to 44.6%[8] .

Retail client funds exceeded to RUB26.3 trn, growing by 2.8% q/q (+1.9% excluding adjustment for the impact of FX revaluation[6]) and by 15.0% ytd, as a result of attractive deposit offerings. The cost of retail deposits rose by 1.1 pp in 3Q 2024 to 8.0%.

- Sber market share in retail client funds in 3Q 2024 was 43.6%.
- In 3Q 2024 Sber increased rates on its deposit products, the «Best interest», «SberDeposit» and «Manage». The highest rate was 20%.

Corporate client funds rose by 8.6% q/q (+7.8% excluding adjustment for the impact of FX revaluation[6]) and by 19.9% ytd (+22.7% excluding adjustment for the impact of FX revaluation[6]), passed RUB16.5 trn. The cost of corporate deposits expanded by 0.6 pp to 10.3% in 3Q 2024.

- Sber market share in corporate client funds increased to 19.6% (+0.7 pp during the reporting quarter).

Net LDR ratio increased to 99.7% at the end of 3Q 2024 (+1.5 pp during the reporting quarter and -2.7 pp for 9M 2024).

Key Asset Quality Metrics

%, unless stated otherwise	30.09.2024	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Stage 3 + POCI loans / total gross loans at amortized cost	3.5%	3.5%	3.5%	3.4%	*0.0 pp*	*0.1 pp*
Provision coverage of Stage 3 + POCI loans	127.3%	127.2%	128.5%	142.2%	*0.1 pp*	*-14.9 pp*

The quality of the loan portfolio in 3Q 2024 was stable. The share of Stage 3 and POCI loans remained at 3.5%.

- The share of Stage 3 loans within corporate loan portfolio decreased by 0.2 pp to 3.4% in 3Q 2024, while the opposite trend was seen in retail lending.

Total provision coverage of impaired loans increased immaterially to 127.3% at the end of reporting period.

Selected Group Capital Adequacy Results

RUB bn, unless stated otherwise	30.09.2024	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Common equity Tier 1 capital	6 063.8	5 779.5	6 407.0	6 097.8	*4.9%*	*-0.6%*
Tier 1 capital	6 213.8	5 929.5	6 557.0	6 247.8	*4.8%*	*-0.5%*
Total capital	6 427.8	6 141.1	6 669.2	6 467.2	*4.7%*	*-0.6%*
Risk-weighted assets	53 318.6	50 291.7	47 547.0	46 295.6	*6.0%*	*15.2%*
Common equity Tier 1 capital adequacy ratio	11.4%	11.5%	13.5%	13.2%	*-0.1 pp*	*-1.8 pp*
Tier 1 capital adequacy ratio	11.7%	11.8%	13.8%	13.5%	*-0.1 pp*	*-1.8 pp*
Total capital adequacy ratio	12.1%	12.2%	14.0%	14.0%	*-0.1 pp*	*-1.9 pp*
Capital adequacy ratio for the Group N20.0	12.9%	14.1%	13.9%	13.8%	*-1.2 pp*	*-0.9 pp*

Common equity Tier 1 capital rose by 4.9% in 3Q 2024 to RUB6.06 trn. Total capital increased by 4.7% q/q, reaching RUB6.43 trn due to earned profit.

The Group risk-weighted assets amounted to RUB53.3 trn, increasing by 6.0% q/q on the back of growth in loan portfolio and regulatory macro-allowances in the retail segment.

Common equity Tier 1 capital and Tier 1 capital adequacy ratio were 11.4% and 11.7% respectively, while **total capital adequacy** came at 12.1%.

Capital adequacy ratio for the Group N20.0 decreased by 1.2 pp in 3Q 2024 to 12.9% due to payment of dividends for 2023 during the reporting quarter in amount of RUB752.1 bn. The effect on the capital adequacy ratio N20.0 was -1.4 pp.

Technological Leadership

The development and implementation of proprietary AI-based technological solutions continues to be a key priority for Sber, as it contributes to enhancing business efficiency and customer experience.

- In October, Sber presents updated **GigaChat MAX** model, which has become even more convenient, powerful, and multifunctional.
  - Almost all of the model's skills improved significantly, from abridging texts and answering open-ended questions to generating ideas.
  - Training datasets has improved the quality of the model's answers in business, law, and medicine as well as scientific questions in biology, chemistry, and physics.
  - Additionally, users can send an image for the service to use as additional context.
- The user base of **GigaChat** expanded by 1.5 mn during the quarter, surpassing 7.5 mn individuals.
  - The system based on GigaChat has been implemented at Sber for widespread use. It enables branch employees to address complex and unconventional queries from customers regarding the bank's financial and non-financial offerings.
- In Q3 2024, the transition of all bank card services to our own processing platform, based on **Platform V DataGrid** and **Platform V Pangolin**, was completed. The platform provides high performance and reliability for more than 200 mn active cards.
- Sber has expanded its range of **smart home devices**, including smart speakers SberBoom Home and SberBoom Mini 2 both equipped with Magnetic Sound technology and GigaChat AI, as well temperature controller for heating radiators.
  - In addition, a line of business devices was presented: interactive panels, Sber professional screens and video conferencing equipment.
  - An updated version of SaluteJazz 2.0 featuring GigaChat has also been made available to businesses. Image quality and running speed have been improved, and the through-connection delay has been reduced. The number of unique external users of SaluteJazz has already exceeded 1 million.
- Sber's team has surpassed serious contestants and won the **Kaggle AutoML Grand Prix**, a prestigious international competition using open-source LightAutoML library, which automates the process of constructing machine learning models.

ESG

We actively support and promote initiatives in the area of sustainable development and offer our clients and partners innovative solutions in this field. The bank's efforts within ESG agenda have been recognized and appreciated by leading rating and analytical agencies.

- Sber responsible finance portfolio increased by 11% in 3Q 2024 and amounted to RUB3.6 trn.
- Sales of ESG products in the B2B segment exceeded RUB2.3 trn from the beginning of the year.
  - Sber is set to start piloting an AI solution streamlining the logistics of light oil products, which should slash the carbon footprint by reducing fuel consumption during transportation.
- Sber is in the top 5 ranked global banks by climate adaptation maturity, according to Climate X and Climate Proof agency.
  - Bank received the high score due to the implementation of a model for assessing climate-related credit and insurance risks.
- Sber reaffirmed its ESG-rating by «Expert RA» at ESG-II(a) and ESG-AA levels, which is in line with the Bank of Russia's methodology. This means a very high level of compliance with sustainability interests when making key decisions.
- Since the beginning of the year, Russian businesses took out environmental insurance policies with SberInsurance for more than RUB17 bn.

Conference call details

October 31, 2024 at 11:00 MSK

Main Russian line
Topic: IFRS 3Q 2024

To connect to the conference using link below:
https://salutejazz.ru/6xwg13?type=webinar&role=VIEWER&psw=OEIICksDBgAfUg8cFBcRExBYEg

Код конференции: 6xwg13@salutejazz.ru
Пароль: 1jo9gcvv

English (listen-only)
Topic: IFRS 3Q 2024

To connect to the conference using link below:
https://salutejazz.ru/ulw5g9?psw=OEQNAAoSVAIAVAoWVQZDEQ9eFw

Conference code: ulw5g9@salutejazz.ru
Password: 7oexv1ti

[1] Includes discontinued operations. Basic earnings per share is calculated by dividing the profit (loss) attributable to shareholders holding ordinary shares of the Bank, or from profit or loss from continuing operations, by the weighted average number of ordinary shares outstanding during the period, less treasury shares repurchased from shareholders.

[2] Includes net expenses from provisioning for debt financial assets and revaluation of loans at Fair Value due to changes in credit quality.

[3] Excluding the subordinated loan agreement in the amount of RUB150.0 bn classified as equity financial instrument that was previously ceded by the Bank of Russia in favor of the Ministry of Finance.

[4] Based on profit from continuing operations.

[5] Before loan loss allowance.

[6] Based on management accounts.

[7] According to the list of SMEs included in the register of the Federal Tax Service as of 31.08.2024.

[8] As of 31.08.2024.

[9] Total equity attributable to shareholders of the Bank / Total numbers of shares outstanding (ordinary + preferred).

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